

TABLE II
WORKING CAPITAL PER MONTH

1. STAFF AND LABOUR			
Designation	Quantity	Salary (₹)	Total salary (₹)
Manager-cum technical expert	1	20,000	20,000
Technical/sales staff	5	15,000	75,000
Semi-skilled worker	2	6,000	12,000
Assistant worker	2	5,000	10,000
Accountant/office assistant	2	15,000	30,000
Total			147,000
Perquisites @ 15% of salary		6,600	6,600
TOTAL			153,600
2. RAW MATERIALS REQUIREMENT (FOR 150 SYSTEMS)			
Particulars	Indian/ Imported	Quantity	Value (₹)
Passive and active components	Indian	LS	154,000
Enclosure for sub-woofers and speakers	Indian	LS	82,000
Sub-woofers (different power ratings)	Indian	LS	100,000
Woofers/speakers and tweeters (different power ratings)	Indian	LS	50,000
Packing cartons	Indian		10,000
Consumables, solder, flux, etc	Indian		10,000
Connecting wires and other components	Indian		10,000
TOTAL			416,000
3. UTILITIES			
Particulars			Average cost (₹)
Power			4,000
Water			500
Total			4,500
4. OTHER CONTINGENT EXPENSES			
Particulars			Amount (₹)
Rent			8,000
Postage and stationery			2,000
Telephone			3,000
Repair and maintenance			2,000
Transport and conveyance			11,000
Advertisement and publicity			10,000
Insurance			1,000
Miscellaneous expenditure			4,000
TOTAL			41,000
TOTAL WORKING CAPITAL PER MONTH (1+2+3+4)			615,100

Chromecast can be directly paired with Google Home. Market analysts estimate that this market will grow steadily at a compound annual growth rate (CAGR) of more than eight per cent by 2022.

Driven by growth in disposable incomes and housing, the retail market for audio equipment industry

revenue has increased in the last five years. During this period, the number of households have increased in line with disposable incomes, representing a consumer base ripe for new audio equipment such as surround sound systems or soundbars for their homes.

Additionally, audio equipment quality has improved, and such

TABLE III
TOTAL CAPITAL INVESTMENT

Particulars	Cost (₹)
Total fixed capital	247,200
Working capital for three months (615,100×3)	1,845,300
Total	2,092,500

TABLE IV
COST OF PRODUCTION PER ANNUM

Financial analysis	Cost (₹)
Total recurring expenditure (615,100×12)	7,381,200
Depreciation on machinery/equipment @ 10%	15,200
Depreciation on furniture/office equipment @ 20%	10,000
Interest on total capital investment @ 14%	292,950
Total	7,699,350

TABLE V
TURNOVER PER ANNUM

Particulars	Rate per unit (₹)	Total sales (₹)
2.1-Channel surround sound system: 600 numbers	3,500	2,100,000
5.1-Channel surround sound system: 600 numbers	5,000	3,000,000
6.1-Channel surround sound system: 600 numbers	6,500	3,900,000
Total sales		9,000,000

equipment are now compatible with other electronics, benefitting industry operators.

Leading consumer electronics brands are manufacturing surround sound systems, and their products are aimed at a specific market. But there is enough potential for locally-assembled systems with lower costs (without compromising on performance) among price-conscious customers who are eager to convert their living room into a movie theatre.

Manufacturing process

Raw materials and equipment. Main components of a surround sound system are audio processor, sub-woofer and speakers. Audio processor is the heart and provides most inputs